

AI in Emerging Asia: A Dynamic Ecosystem

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Emerging Asia has taken center stage in the artificial intelligence (AI) revolution. From hyperscalers to chip producers and infrastructure enablers, companies across emerging Asia anchor a vibrant ecosystem that investors should consider as they seek exposure to the AI theme.

To identify the real long-term winners in this AI ecosystem, investors need to appreciate the AI innovations and growth drivers across emerging Asia. They need to understand, for instance, developments in China, where the "DeepSeek moment" in January 2025 heralded the rapid emergence of home-grown AI models that compete well on cost efficiency versus the incumbent models in the United States.

But the AI story in emerging Asia goes far beyond China. It is also about the semiconductor powerhouses in Taiwan and South Korea; the crucial OSAT (outsourced semiconductor assembly and testing) players in Southeast Asia; and the integration of AI into software services in India. At every layer of the so-called "AI stack," the end-to-end complex of hardware, software and technologies that drive the development, training, scaling and deployment of AI solutions, we can find emerging Asia companies playing the critical role of value chain enabler.

At Templeton Global Investments (TGI), we are actively exploring the diverse opportunity set across the entire AI value chain in emerging Asia. This paper aims to share some of our perspectives on this dynamic ecosystem. We will adopt a structured approach, looking at four distinct layers that combine to form the entire AI stack, each with its own technological nuances, industry characteristics and growth driver.

Conclusion

Across all four key layers of an AI stack, we see evidence of emerging Asia companies playing the role of critical manufacturers, developers and service providers. In several aspects, these companies are not merely emerging—they are leading the rest of the world in the global AI value chain.

As a global asset manager, TGI invests across the developed and emerging markets. Our comprehensive research and firm conviction in the emerging Asia AI ecosystem complement our understanding of the global technology complex.

We believe a similarly holistic view should benefit investors as they seek diversified exposure to the AI growth theme. The ability to appreciate the full dynamics of emerging Asia's AI ecosystem is the key to navigating this once-in-a-generation technological leap.

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To the extent a portfolio invests in a concentration of certain securities, regions or industries, it is subject to increased volatility.

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